

India, factors such as rising disposable income, the growth of smart cities, stricter safety standards, and a thriving automotive electronics aftermarket have fuelled market expansion. Although India's market is smaller than China's, it is experiencing notable growth. The proliferation of smart cities and advanced transportation systems has driven increased demand for automotive electronics. Concurrently, government regulations mandating safety features have further boosted the adoption of automotive electronics. A noteworthy trend is the significant growth of the automotive electronics aftermarket in India over the past five years, a trend less pronounced in developed European nations. This growth trajectory is expected to continue until 2029.

The automotive electronics industry is on an exciting trajectory, driven by adopting electric, connected, and autonomous vehicles. Companies in this space must navigate a complex landscape of evolving technologies, regulations, and consumer demands. Ensuring stability in the supply chain, addressing cybersecurity risks, and focusing on innovation are critical factors for success. Moving forward, it is anticipated

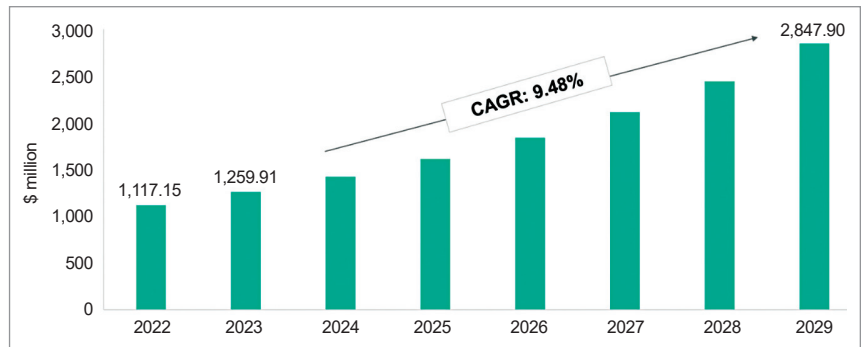


Fig. 7: India's automotive electronics market scenario—present and projected

that there will be a sustained upsurge in the demand for sensors and electronic components, particularly in light of the ongoing evolution of vehicles towards advanced levels of autonomy. Those companies capable of adeptly adjusting to these evolving dynamics and wholeheartedly embracing innovation are set to find themselves strategically positioned for prosperity within the automotive electronics industry of tomorrow.

Future perspectives

The market is experiencing significant growth, primarily driven by the proliferation of connected, autonomous, and electric vehicles. This growth necessitates the establishment of a stable supply chain, especially in emerging markets like India,

where automotive adoption is on the rise. Furthermore, sustainability and ESG (environmental, social, and governance) goals are shaping product preferences and targets for the next decade. India, in particular, stands out as a crucial market due to its unique consumer dynamics and increasing consumer spending. Companies in the automotive electronics sector are focusing on product innovation and development as a key strategy for success.

The influence of deep tech technologies on the automotive electronics sector cannot be overlooked. The insights span various sectors, including healthcare, mobility, advanced materials, aerospace and defence, agri-tech, and ICT, in addition to the sensor technologies discussed. Through strategy reports, tailored research, and export marketplace, insights have been made with leading manufacturers to cater to their distinct requirements. The trends and key insights highlighted in this article will continue to exert a significant impact on the automotive electronics industry. Sensor developers are poised for increased market share as the demand for automotive electronics continues to surge in the decades ahead. **EFY**

Prospects within the automotive electronics sector

Amidst the array of challenges confronting the automotive electronics industry, many opportunities beckon, promising to shape its future trajectory in profound ways.

- **Transition to higher autonomy levels.** The automotive industry is actively transitioning towards higher levels of vehicle autonomy, led by industry giants such as Audi, Mercedes, Vaimo, and Zox. This transition promises a significant increase in the deployment of advanced sensors and electronic systems, marking a pivotal moment in automotive technology.
- **Emphasis on product innovation.** Industry players can establish a strong market presence by prioritising product innovation and development. Companies that invest their resources and efforts in pioneering advancements are well-positioned to secure a substantial share in the automotive electronics market. A commitment to innovation and staying at the forefront of technological breakthroughs is the key to success in this dynamic industry landscape.

As consumers' expectations evolve and technology advances, the road ahead promises to be exciting and challenging for industry players. Those who navigate it successfully will be at the forefront of automotive technology, steering us into a future where intelligent, autonomous vehicles are the new norm.

This article is from a tech talk session at Delhi EXPO 2023 by Dhrubajyoti Narayan, Principal Analyst, Research, BIS Research. It has been transcribed and curated by Akanksha Sondhi Gaur, Research Analyst and Journalist at EFY.